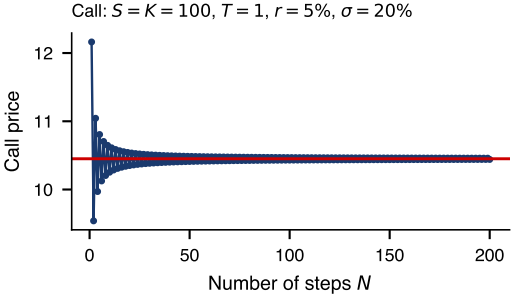
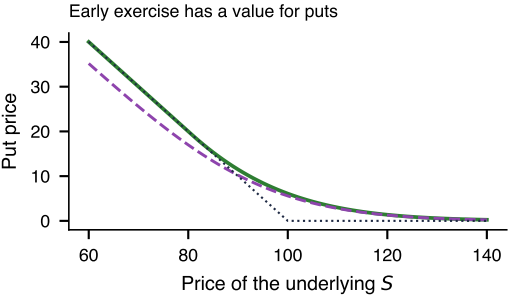

Call: $S = K = 100$, $T = 1$, $r = 5\%$, $\sigma = 20\%$
Call price
12
11
10
0
50
100
150
200
Number of steps N
Binomial tree (CRR), N steps
Black-Scholes (10.451)


Early exercise has a value for puts
Put price
40
30
20
10
0
60
80
100
120
140
Price of the underlying S
American put (CRR, 500 steps)
European put (Black-Scholes)
Exercise value $\max(K - S, 0)$